

# Fact Find

Client: **Mrs Katherine Chen**    Adviser: **John Smith, DipPFS**    Meeting date: 14 March 2026

## 1. Personal Details

| Field               | Detail                                                                  |
|---------------------|-------------------------------------------------------------------------|
| Full name           | Katherine Louise Chen                                                   |
| Date of birth       | 04 July 1961 (age 64)                                                   |
| Marital status      | Married (spouse: Robert Chen, age 66, retired)                          |
| Dependants          | None financially dependent                                              |
| Address             | 14 Meadow Lane, Farnham, Surrey, GU9 8QN                                |
| Contact             | k.chen@examplemail.co.uk / 07700 900042                                 |
| Employment          | Self-employed consultant (part-time, winding down)                      |
| Gross annual income | £32,000 (approx., declining)                                            |
| State Pension       | Receiving new State Pension £221.20/week                                |
| Health              | Generally good. Osteoarthritis diagnosed 2023, managed with medication. |

## 2. Client Objectives (client's own words, recorded in the meeting)

"I want flexibility over how I take my pension — I don't need a fixed income for life, my husband has a good DB pension and we have some savings. I'd rather have control, maybe leave what's left to our nieces, and be able to take lump sums for travel in the next 5 years while we're still well enough to go. I understand I'd be giving up the guaranteed pension from my old employer's scheme — I've thought about it and the flexibility is worth more to me than the guarantee."

| Objective                                | Time horizon                                     | Priority |
|------------------------------------------|--------------------------------------------------|----------|
| Flexibility to take variable withdrawals | Immediate — 15+ years                            | High     |
| Lump sums for travel in next 5 years     | 1–5 years                                        | High     |
| Leave residual fund to nieces on death   | Long term                                        | Medium   |
| Replace guaranteed DB income             | Not a priority — covered by husband's DB + State | Low      |

## 3. Existing Arrangements

| Provider                            | Type                          | Value / Benefit                                | Date valued |
|-------------------------------------|-------------------------------|------------------------------------------------|-------------|
| Meridian Engineering Pension Scheme | Defined Benefit (deferred)    | CETV £145,000 / £4,200 pa at 65, 3% escalation | 28 Feb 2025 |
| Aviva Personal Pension              | DC — existing                 | £38,400                                        | 28 Feb 2026 |
| NS&I Premium Bonds                  | Cash                          | £22,000                                        | 28 Feb 2026 |
| Joint Current Account               | Cash (spouse joint)           | £18,500                                        | 28 Feb 2026 |
| Stocks & Shares ISA                 | Investment                    | £41,200                                        | 28 Feb 2026 |
| State Pension                       | Statutory                     | £221.20/week in payment                        | —           |
| Spouse DB Pension                   | Statutory income to household | £26,400 pa escalating                          | —           |

*Notes on existing arrangements:* The Meridian DB scheme is closed to future accrual. Cash emergency fund of £22,000 deemed adequate by client. ISA is actively invested (medium risk). Client's total household pension income (spouse DB + her State Pension + her State Pension) is £43,900 per annum, against household essential outgoings of £26,400.

## 4. Risk Capacity and Loss Capacity

**4.1 Attitude to Risk:** Client completed the firm's ATR questionnaire on 14 March 2026 (result: Moderate — see separate ATR document). Client agreed the result matched her own view. Client described her risk attitude as: "I don't want to lose a lot, but I'm not trying to get rich either — I've got enough, I just want to keep up with inflation and have flexibility."

**4.2 Capacity for Loss (monetary):** On the proposed £183,400 combined DC pension pot (£145,000 transferred + existing £38,400), client stated she could absorb a short-term loss of up to £36,680 (20%) without altering her retirement plans. A loss of £55,000+ would cause her to reduce planned travel spending. Her capacity for loss is supported by her spouse's DB income, State Pension, cash reserves, and ISA. This capacity for loss analysis is recorded separately from her ATR per firm policy criterion SP-3.

**4.3 Experience and Knowledge:** Client has held a Stocks & Shares ISA for 18 years, actively invested. She understands the difference between DB and DC pensions having discussed it at the first meeting. Reasonable-reader test applied — client confirmed she understands that DC pensions can fall in value and that there is no guaranteed income for life.

## 5. Affordability

Household income: £43,900 pa (guaranteed sources only). Essential outgoings: £26,400 pa. Surplus: £17,500 pa before discretionary spending. The recommendation does not require further client contributions. Planned drawdown of up to £15,000 pa in years 1–5 is affordable without impacting essential spending even if markets fall 25%.

## 6. DB Transfer Considerations (specific to this recommendation)

Client understands that transferring out of the Meridian DB scheme means:

- Losing the guaranteed £4,200 pa income at 65 (escalating 3%) and the 50% spouse's pension of £2,100 pa.
- Taking on investment risk on the £145,000 transferred value.
- The transfer is generally irreversible.
- Critical yield required to match scheme benefits: 8.2% per annum (see TVA document).
- The recommended growth assumption for the new arrangement is 4.5% per annum — a shortfall she has acknowledged.

Client prioritises flexibility and inheritance over the guaranteed income. Her husband's DB pension (£28,400 pa escalating) provides household income security independent of her decision. This rationale is central to the recommendation.

## 7. Sustainability / ESG Preferences

Client was asked about preferences for sustainable / ESG-aligned investments. She stated she had "no strong preference" and asked the adviser to recommend appropriately. No specific ESG exclusions were requested.

## 8. Vulnerability Assessment

Client identified as **potentially vulnerable** under the health driver (osteoarthritis, managed). Impact on advice: none — cognitive capacity unaffected, client actively engaged, no evidence of undue third-party influence. Flagged in case of future deterioration; recommendation is unchanged.

**Signed (adviser):** J. Smith    **Date:** 14 March 2026

**Signed (client):** K. Chen    **Date:** 14 March 2026